

1-4a Three Views on Globalization

Depending on what sources you read, globalization could be

- a new force sweeping through the world in recent times
- a long-run historical evolution since the dawn of human history
- a pendulum that swings from one extreme to another from time to time

An understanding of these views helps put into perspective the debate about globalization. First, opponents of globalization suggest that it is a new phenomenon beginning in the late 20th century, driven by recent technological innovations and a Western ideology focused on exploiting and dominating the world through MNEs. The arguments against globalization focus on environmental stress, social injustice, and sweatshop labor, but present few clear alternatives to the present economic order. Nevertheless, anti-globalization advocates and protesters often argue that globalization needs to be slowed down if not stopped.

A second view contends that globalization has always been part and parcel of human history. Historians debate whether globalization started 2,000 or 8,000 years ago. The earliest traces of MNEs have been discovered in Assyrian, Phoenician, and Roman times. International competition from low-cost countries is nothing new. In the first century A.D., the Roman emperor Tiberius was so concerned about the massive quantity of low-cost Chinese silk imports that he imposed the world's first known import quota of textiles. Today's most successful MNEs do not come close to wielding the historical clout of some MNEs, such as the (old) East India Company during colonial times (see the [Opening Case](#)). In a nutshell, globalization is nothing new and will probably always exist.

A third view suggests that globalization is the “closer integration of the countries and peoples of the world which has been brought about by the enormous reduction of the costs of transportation and communication, and the breaking down of artificial barriers to the flows of goods, services, capital, knowledge, and (to a lesser extent) people across borders.” Globalization is neither recent nor one-directional. It is, more accurately, a process similar to the bi-directional swing of a pendulum.